# WARRANTY ATLAS · New York (NY)

Law last amended: 2024 (eff. 2024-09-04) · Next scheduled change: none found · Last verified: 2026-10-06 · Built 2026-10-23

Cites: N.Y. Veh. & Traf. Law § 465; N.Y. Veh. & Traf. Law § 469 (private actions); N.Y. Veh. & Traf. Law § 471-a (adjudicatory proceedings; penalties)
**Flagged state.**

## Labor reimbursement by coverage type

| Coverage | Status | Paid hours | Pinpoint / date note |
|---|---|---|---|
| **Factory warranty** | **Required** | Independent/retail time guide | § 465(1) |
| **Mfr-backed service contract** | **Required** | Independent/retail time guide | § 465(1) |
| **CPO warranty** | **Conditional** | Independent/retail time guide | § 465(1) |
| **Independent service contract** | **Not reached** | - | § 465(1) |

Hourly rate: Not less than the price and rate the dealer charges non-warranty and/or non-service-contract customers. Dealer declares from the lesser of 100 sequential non-warranty customer-paid ROs or 90 days of ROs (within 180 days). Effective 30 days after declaration and presumed reasonable. Franchisor may rebut by comparison with same line-make dealers in the vicinity. At most one change per calendar year.

## Audit fields

| Field | Rule | Pinpoint |
|---|---|---|
| **Claim decision** | 30 days; late claim deemed approved: Yes. written notice within the 30 days stating the specific grounds for disapproval | § 465(2); payment 'within thirty days following their appro… |
| **Payment** | 30 days after approval. Dealer filing deadline: Silent. No denial for an incidental failure, clerical error or administrative technicality that does not question legitimacy, if the deal… | |
| **Chargebacks** | 12 months; fraud: five years in the case of fraud. Franchisor must prove the dealer did not make a good-faith effort to comply with reasonable written procedures or did not perform the work (§ 465(5)). One undocumented part cannot void a whole multi-part repair. An in-person or phone meeting is required befor… | § 465(3)-(5), (7) |
| **Rate resubmission** | dealer may not request a change more than once each calendar year. Sample: 100 ROs or 90 days (fewer of the two samples); ROs <= 180 days old. Excluded: Other (see text), Tires, Routine maintenance, Prep / reconditioning. | § 465(1) |
| **Mfr response** | Silent; no response = approved: Yes. Challenge: Rate is unreasonable in light of the practices of all other franchised dealers in the vicinity offering the same line make; franchisor bears burden Forum: DMV Commissioner adjudicatory proceeding (§ 471-a; hearing procedure…. | § 465(1) |
| **Penalties** | Adjudicatory proceeding before the DMV Commissioner, or court action for injunctive relief and damages; court may award costs and a reasonable attorney's fee to any party (§ 469) Commissioner enforces via § 471-a proceedings; civil penalty up to $1,000 per day for not complying with the Commissioner's decision (§ 471-a) | N.Y. Veh. & Traf. Law §§ 469, 469-a, 471-a |
| **Audit procedures** | Audit climate score 45/100 (High restrictiveness; chargeback limits 42/75 + process and oversight 3/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: yes; frequency cap: none; written reasons: no; response period: none; internal appeal: no; held pending appeal: yes; extrapolation: silent; clerical-error protection: yes; rate validation: broader or no procedure. | |

## Statute quotes

***Claims*** *(§ 465(2); payment 'within thirty days following their appro…): "All warranty or sales incentive claims shall be either approved or disapproved within thirty days after their receipt ... Failure to disapprove a claim within thirty days shall be deemed approval."*
***Chargebacks*** *(§ 465(3)-(5), (7)): "No franchisor shall conduct an audit or charge back any warranty payment ... more than one year, or five years in the case of fraud, after the date the franchisor made such payment to the dealer"*
***Rate*** *(§ 465(1)): "may be established by submitting to the franchisor one hundred sequential nonwarranty customer-paid service repair orders or the number of sequential nonwarranty customer-paid service repair orders written within a ninety day period, whichever is less"*
***Factory time*** *(§ 465(1)): "reasonable compensation shall be the reasonable labor time allowances defined by the retail labor time guide reasonably utilized by a franchised motor vehicle dealer for non-warranty customer paid labor operations."*

## Notes

The § 465(3) lookback sentence is oddly drafted. It bars audits/chargebacks beyond 1 year (5 for fraud) 'without providing a notice ... or a mechanism' giving the dealer information on the errors. Read conservatively as a 1-year/5-year window plus a notice duty. The 2024 amendment (ch. 301) added extended-warranty and factory-compensated repairs to scope and pays time per the dealer's retail labor time guide. House-coach residential components are excluded from parts reimbursement. Pending A8773/S8360 (2025-26) is not law.

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